

HEDGEYE DAILY DIGEST

September 22, 2026 (GMT+8)

The U.S. Dollar breaking out to Bullish TRADE and TREND was the single biggest macro signal change of the past week, and Hedgeye is treating it as the organising fact of the setup - a headwind for gold, emerging markets, bonds and European currencies all at once. Underneath it, the UST 2-year yield made fresh cycle highs at ~4.85% while the 30-year fell, flattening 10s-2s by 28 basis points in a month and punishing exactly the rate-sensitive longs Hedgeye is short: Utilities, Industrials and the Russell 2000. The message from Monday's Macro Show was tactical rather than apocalyptic - use the bounce to clean up broken positions, trim overbought winners like Bitcoin, and respect that market internals are deteriorating well ahead of the headline index.

Grouping note: Hedgeye publishes on U.S. Eastern time and does not publish at weekends. "Today" covers the most recent full publishing session - Monday 21 September EDT, which lands on the evening of 21 September / early hours of 22 September GMT+8. "Yesterday" covers the prior publishing day, Friday 18 September EDT, with the intervening weekend gap noted.

TODAY'S PUBLICATIONS

EARLY LOOK - "Sneaky #Quad2 Signals"

EARLY LOOK | Keith McCullough · 09/21/26 07:25 AM EDT (09/21 19:25 GMT+8)

McCullough opened Macro Monday with a Curt Simmons line about Hank Aaron - "trying to sneak a fastball past him is like trying to sneak a sunrise past a rooster" - and turned it into the week's thesis: you cannot sneak a macro move past The Machine, because The Machine **is** the market. The signals see the Quads and company revenues manifest before they are reported.

The headline signal change was the **U.S. Dollar**. The **USD Index** was **+1.1%** on the week and is now signalling **Bullish TRADE and TREND**. The mirror image was broad currency weakness: **EUR/USD -1.3%** (Bearish TRADE and TREND), the **Japanese Yen -2.5%** versus USD (Bearish TRADE, Bullish TREND), **GBP/USD -1.3%** (Bearish TRADE and TREND), the **Canadian Dollar -1.0%** confirming a return to Bearish TREND, and the **Swiss Franc -1.1%** confirming Bearish TREND. That last one matters to positioning - Hedgeye is short Swiss equities via **EWL**.

The causal driver, with **WTI's trailing three-month return still +35.2%** and oil finally not having an up week, is rates. The **UST 2-year yield broke out another +13 basis points** week-over-week to new cycle highs. McCullough's framework: yields across the curve break out hardest when the economy is **reporting #Quad2 data**; the long end then peaks against the rear-view mirror of a prior cycle high, rises less than the short end (the **UST 30-year yield was actually down 2 basis points** last week), and the curve moves from flattening to inverting as the Fed tightens into a slowdown.

That flattening - **10s minus 2s is 28 basis points flatter in the last month** - is the direct read-through to sector positioning. **Financials (XLF)** fell **-2.4%** on the week and are **-3.4%** over the month. **Utilities (XLU)** led the losers at **-3.0%**, now **-6.6%** over the month, which suits Hedgeye's longest-standing U.S. equity sector short. **Industrials (XLI)** - the early-cycle short - fell another **-1.5%** to **-7.5%** over the month, worse than Utilities. On the long side, **Healthcare (XLV)** added **+1.8%** and carries a **+12.7% trending three-month return** against the **Russell 2000 (IWM)** at **-4.0%** over the same period, which is where the long/short alpha has come from.

Investment implication: stay with the dollar and the short end. Being long rate-sensitives into a #Quad2 breakout in bond yields is, in McCullough's phrase, almost never a good thing - the Healthcare long versus

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Utilities/Industrials/Russell 2000 short remains the expression.

Risk Range™ Signals

ASSET	LOW	HIGH	TREND SIGNAL
10-Year U.S. Treasury Yield (UST10Y)	4.82	5.11	Bullish
High Yield (HYG)	78.15	79.01	Bearish
Investment Grade Corporate Bonds (LQD)	103.6	105.5	Bearish
S&P 500 (SPX)	7526	7699	Bullish
NASDAQ Composite (COMPQ)	25848	26636	Bullish
Russell 2000 (RUT)	2822	2921	Bearish
Health Care Select Sector SPDR (XLV)	164	171	Bullish
iShares Tech-Software ETF (IGV)	99	109	Bullish
Energy Select Sector SPDR (XLE)	63.15	65.99	Bullish
Volatility Index (VIX)	14.26	18.57	Bearish
U.S. Dollar Index (USD)	99.43	100.91	Bullish
WTI Crude Oil (WTIC)	95.53	106.38	Bullish
Natural Gas (NATGAS)	2.71	2.98	Bearish
Gold Spot (GOLD)	4240	4419	Neutral
Copper Spot (COPPER)	6.33	6.80	Bullish
Silver Spot (SILVER)	62	67	Neutral

THE MACRO SHOW - Monday Summary Notes

THE MACRO SHOW | McCullough & Ryan Ricci · 09/21/26 10:15 AM EDT (09/21 22:15 GMT+8)

Positions mentioned - BULLISH: Bitcoin (IBIT), Ethereum (ETHA), Corn (CORN), Meta Platforms (META). **BEARISH:** Russell 2000 (IWM), Switzerland (EWL), Swiss Franc (CHF), Germany (EWG), Industrials (XLI), Utilities (XLU).

Dollar first. McCullough called the USD breakout the most important change in the setup, with implications across currencies, commodities, bonds and emerging markets. USD/JPY moved to Bullish TRADE; European currencies weakened. He said he would be short the **Swiss Franc** alongside the existing Switzerland short, and argued a stronger dollar is a marginal headwind for **gold, emerging markets and bonds**. The **2-year yield signal is, in his words, even more bullish than the dollar signal**.

Crypto: trim, do not exit. Both **Bitcoin (IBIT)** and **Ethereum (ETHA)** remain Bullish TRADE and TREND but are flagged immediate-term TRADE overbought. The instruction was explicitly to **book some gains into strength** and preserve capital to add back on a correction - not to abandon the long. He rejected the reflex that a bullish dollar mandates a bearish Bitcoin, noting recent short-term USD/BTC correlations have weakened.

SPX can flip Bullish TRADE, but the structure is a lower high. The S&P 500 was positioned to move from Bearish TRADE to Bullish TRADE on the open if it held the immediate-term TRADE level around **7656**, with

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dealer gamma moving out of negative territory. Positive gamma means a more fadeable tape - sell upside, cover downside, chase neither. Hedgeye is **not short the S&P 500**; it is short the **Russell 2000**, which had fallen **-6.8% from its recent cycle peak**, and an oversold bounce there is seen as a chance to add.

Internals are the real story. McCullough cited roughly **35 bullish versus 80 bearish signals** and said the ratio itself is the thing to watch for stabilisation. **Utilities were down more than 9% during the quarter.** His point: sectors, styles and factors weaken before the index breaks.

Semis at a decision point. SanDisk and AMD moved back to Bullish TREND and South Korea's KOSPI was testing TRADE/TREND levels. McCullough said he **shorted semiconductors late last week** but tightly risk-managed - roughly **0.6% against him** triggers the stop and he exits rather than turning a tactical short into an "AI bubble" thesis.

Europe more defensive: Germany (EWG) was added to the short side alongside Switzerland, leaving two European shorts and no long European country exposure. The Euro long has been exited, as was the Canadian Dollar the prior week.

Commodities: still long **Corn**, tied to potential Chinese purchases and already-rising food prices. **WTI** is a watch-for-a-buy near the low end of the Risk Range while Bullish TREND holds. **Gold** is Bearish TRADE and near Bearish TREND confirmation - kept neutral; **Silver** moved back to Bearish TREND, also held neutral pending confirmation.

Tech leadership is selective. **Apple** and **Microsoft** are both Bullish TREND and together are a large share of XLK. **Meta** was a position reversal - short exited, now long on the signal change; **Netflix** was the opposite, exited before its decline.

The closing instruction: use countertrend strength to clean up the book. Sell what is Bearish TRADE and TREND rather than defending it on fundamentals, re-add shorts into favourable rebounds, and trim overbought winners like Bitcoin.

MOMO TRACKER

MOMENTUM STOCK TRACKER | Christian Drake & Ryan Ricci · 09/21/26 08:06 AM EDT (09/21 20:06 GMT+8)

The Momentum Stock Tracker is a dashboard rather than a written note, so the signal is in the header: **Mag7 -0.2%** against **High Beta Momo +1.8%** - a rotation away from mega-cap leadership toward higher-beta names. **NVDA = BULLISH, GOOGL = NEUTRAL**, which the authors flagged as an "interesting spot" given how much index weight sits in those two.

The dashboard body is chart-based and was not reproduced as text on the page; the substance above is drawn from the published header and the accompanying tracker metadata.

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SIGNAL STRENGTH STOCKS

SIGNAL STRENGTH STOCKS · 09/21/26 11:42 AM EDT (09/21 23:42 GMT+8)

Two updates ran on the day. The morning screen at **09:23 AM EDT** held at **35 stocks (0 added, 0 removed)**. The late-morning refresh at **11:42 AM EDT** jumped to **42 stocks - 7 added, 0 removed**.

Additions: **ANET** (Arista Networks), **SJM** (J.M. Smucker), **KXIAY**, **SIMO** (Silicon Motion), **BBY** (Best Buy), **FIVN** (Five9) and **WGS** (GeneDx). Nothing was removed. A net-seven expansion with zero removals is a modest breadth improvement against the deteriorating 35-bullish-versus-80-bearish backdrop McCullough described on the show.

CAPITAL ALLOCATION PRO - Daily Dashboard

CAPITAL ALLOCATION PRO | Andrew Nanai & David Salem · 09/21/26 09:09 AM EDT (09/21 21:09 GMT+8)

Model Portfolio changes take effect using **closing prices on Thursday, September 17th, 2026**; the specific line-item changes sit behind the linked dashboard rather than in the note body.

Housekeeping worth noting: **Trend and Tail levels for the 68 tracked ETFs** were refreshed using **Friday, August 28th** closing prices on the standard three-to-four-week cycle. The team has also made a **ticker substitution** - adding **BNO** (Brent crude) and **USO** (WTI crude) to coverage while dropping **MBB** (mortgage-backed bonds) and **PFF** (preferred and income securities). Adding both crude benchmarks while cutting two rate-sensitive income sleeves is consistent with the wider #Quad2 tilt.

BITCOIN TREND TRACKER - Crypto Quant

BITCOIN TREND TRACKER · 09/21/26 07:26 AM EDT (09/21 19:26 GMT+8)

BTC +4.2% with **COIN**, **MARA**, **BLOK** and **CRCL** all **BULLISH**. Roughly **\$750 million of short positions** were liquidated and spot **ETFs saw +\$577 million** of day-over-day inflows. That is the tape behind McCullough's "trim, don't exit" call - strength strong enough to be worth harvesting into, not strength to fade outright.

FROM THE DESK - Hedgeye Process Sheets

FROM THE DESK · 09/21/26 02:37 PM EDT (09/22 02:37 GMT+8)

A housekeeping release rather than a market call: Hedgeye published three visual quick-reference guides - **TRADE vs. TREND** (how the two durations work together and what signal combinations mean for a position), **Position Sizing** (establishing minimum and maximum sizes and scaling incrementally as signals change), and **Spotting Phase Transitions** (recognising when a Bullish or Bearish Formation may be starting to change).

These are not new signals or a new methodology - they are reference tools, and they are also available in the Hedgeye Process Guide in the Education Center.

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ETF PRO PLUS

ETF PRO PLUS · 09/21/26 10:24 AM EDT (09/21 22:24 GMT+8)

5 new ETF Pro changes posted; the change detail sits in the ETF Pro Plus dashboard rather than the note body. This followed a new weekly report published **09/20/26 04:20 PM EDT**.

YESTERDAY'S PUBLICATIONS

EARLY LOOK - "The Great Finding Out"

EARLY LOOK | R. Patrick Kent · 09/18/26 07:38 AM EDT

What: Portfolio manager R. Patrick Kent wrote the Friday Early Look as a catalogue of deferred consequences - framed around the acronym FAFO - across valuation, leveraged ETFs, AI capex, deficits and shipping.

Why: A decade of liquidity has trained investors and algorithms that the finding-out is always deferred. Kent's argument is that in **Quad 1** you can carry enormous risk; in **Quad 3 or Quad 4** every one of those items converts from an interesting question into a liability.

Who: Hyperscalers, OpenAI, Anthropic, the CBO, Maersk, Hapag-Lloyd and MSC; a cited conversation between Keith McCullough and Mike Taylor.

Key numbers: Shiller **CAPE at 40.3**; US market cap to GDP around **240%** versus a **150%** Dot Com peak. Roughly **\$198 billion** in 2x/3x leveraged ETFs, **\$36.4 billion** of it in TQQQ. Hyperscaler off-balance-sheet commitments above **\$3 trillion**, with **\$800 billion** of 2026 capex from the four largest after **\$448 billion** in 2025 and **\$246 billion** in 2024, and 2027 estimated north of **\$1 trillion** - against OpenAI annualised revenue of **\$40 billion** and Anthropic **\$65 billion**. CBO deficits averaging **6.1% of GDP** for a decade; net interest passing **\$1 trillion** in fiscal 2026 and doubling to **\$2.1 trillion** by 2036; **\$1 trillion** of debt added in three months. Each diverted Asia-to-Europe voyage burns **\$1 million** in extra fuel, with Cape routing absorbing about **8%** of global container capacity.

Takeaway: Not a doom call - a statement about regime dependence. Kent points at a **high probability of Quad 4 in 1Q27** and notes these inflation inputs cannot be fixed by a rate hike unless it slows the economy.

KM'S TOP 3 THINGS (Rates / Europe / VIX)

FROM THE DESK | Keith McCullough · 09/18/26 07:20 AM EDT

What: McCullough's three-point desk note into a session complicated by U.S. options expiration and SPX gamma going neutral.

Why - Rates: "Off the highs" for bond yields is not a bull case for bonds. Nothing changed in the Risk Range signals, with **2s and 10s signalling higher cycle highs at 4.85% and 5.12%** respectively, while the yield curve keeps getting smoked - **10s minus 2s has been cut in half since August**, when Hedgeye was long a steepener. He said he would be back shorting **TLT, ZROZ, LQD and XLU** into green.

Why - Europe: The flow crosswinds are a uniquely American phenomenon. The **German 10-year Bund yield** is signalling higher cycle highs at **3.64%**, the **DAX fell another -0.7%** on Bearish TREND - a large daily divergence versus SPY - and **Italy led the losers at -1.3%**. Hedgeye is out of all European country exposure and short Swiss stocks via **EWL**.

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Why - VIX: Flows and TRADE/TREND signal levels are separate variables analysed together - a "Similar Set" in fractal terms. The **VIX TREND signal level is 16.43**, bullish above and bearish below. **Short-dated calendar vol dropped from 20 to 13** in a session, torching the panic-put buying that went into the Fed meeting. **SPX TRADE level = 7656**.

Key numbers: SP500 immediate-term range **7513-7727**; UST 10-year yield **4.81-5.12%**.

Takeaway: Fade the bond-yield relief, stay out of Europe on the long side, and respect the VIX TREND line rather than the narrative.

THE MACRO SHOW - Friday

THE MACRO SHOW | Ryan Ricci & RPK · 09/18/26 10:21 AM EDT

What: Summary notes and replay from the Friday show, hosted by macro analyst Ryan Ricci with HAM portfolio manager R. Patrick Kent in McCullough's place.

Takeaway: The Friday session carried the same two threads that set up Monday's dollar call - rising cycle-high yields at the short end and European weakness - which by Monday had resolved into the USD Bullish TRADE and TREND breakout.

SIGNAL STRENGTH STOCKS

SIGNAL STRENGTH STOCKS · 09/18/26 11:36 AM EDT

What: The screen contracted to **35 stocks - 2 added, 5 removed**, down from **38** on 09/17 (1 added, 5 removed) and **42** on 09/16.

Takeaway: Three consecutive sessions of net removals through Friday, before Monday's rebound to 42. Breadth had been narrowing into the weekend, which is the backdrop for the deteriorating-internals theme.

BITCOIN TREND TRACKER - Crypto Quant

BITCOIN TREND TRACKER · 09/18/26 08:06 AM EDT

What: **XRP = BULLISH** while **COIN, MARA, BLOK and CRCL were all NEUTRAL**, alongside a tokenisation landmark - the **SEC announced an innovation exemption**.

Takeaway: The Friday neutral reading on the crypto equity complex flipped to bullish across all four names by Monday, alongside BTC's **+4.2%** move - a fast swing that supports the "follow the signal, not the correlation" framing.

ETF PRO PLUS

ETF PRO PLUS · 09/18/26 10:41 AM EDT

What: **2 new ETF Pro changes**, following **6 changes** on 09/17 and **3** on 09/16.

Takeaway: A steady cadence of repositioning through the week, accelerating again to 5 changes on Monday as the dollar signal confirmed.